

Emerging Markets Insights: AI and beyond

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Three things we are thinking about today

Trade truce: Trade talks between US President Donald Trump and Chinese President Xi Jinping resulted in a one-year trade truce. US access to Chinese rare earths and Chinese access to moderately advanced semiconductor chips have been restored. Details on the implementation of the deal remain vague, but investors anticipate that trade normalization is in the interests of both countries. Importantly, Chinese restrictions on access to rare earths did not apply to only the United States, rather it was a global licensing system. With the trade truce in place, companies across the globe dependent on these materials can once again gain access.

South Korean semiconductor demand surges: The US corporate results season for the big four Hyperscalers¹ highlighted a further surge in their spending on data centers to support booming demand for artificial intelligence (AI) models. Together these four companies have spent US\$360 billion over the past 12 months and intend to spend even more in the coming 12 months. This has had a positive impact on the supply chain in Asia which manufactures the semiconductors powering these data centers. One of the chips requires high bandwidth memory, which is dominated by suppliers in South Korea and sold out through the end of 2026.

Elections in Latin America: Following Mexico's election last year, numerous countries in South America will hold elections in the fourth quarter of 2025 and in 2026. Chile's election is on November 16, 2025, with Peru, Colombia and Brazil going to the polls next year. We are optimistic about potential leadership changes in Latin America and expect more pro-market policies. The leadership change in Mexico last year resulted in a new pragmatic president, who successfully dealt with the new US trade demands without a direct confrontation.

Outlook

Our Asian equity portfolio manager recently visited Taiwan. This tech-heavy equity market has rallied 39.1% year to date,² driven by AI's growth prospects. No trip to Taiwan would be complete without extolling the opportunities of AI, and our portfolio manager agrees with this optimism. However, beyond the participating beneficiaries of AI, he wonders if non-AI companies have been overlooked.

On AI

There was almost uniform bullishness on AI in Taiwan. This optimistic outlook spanned demand into 2027 and beyond. No investor or company we met mentioned the risk of a mid-cycle correction. However, the discussion has now extended past semiconductor firms, centering around power and thermal management. This refers to components that control and dissipate heat of computer systems and devices. The roadmap for thermal management is now visible. One Taiwan-based global leader in power and thermal management solutions has mentioned that it reached its capacity utilization. A leading South Korean chip manufacturer also recently announced that its high bandwidth memory supply is sold out through 2026.

On non-AI

Companies in the consumer electronics/peripherals space have not been participating in this year's rally in Taiwan. The portfolio manager concedes that the recovery for non-AI tech has not been that strong, but he believes that it is a matter of time until a bullish view emerges for this segment. With more powerful servers, desktop and laptop computers will need to be replaced by others with the ability to handle the additional power. This will in turn lead to the need to update peripherals, which the portfolio manager notes that he has not seen happening, yet. From a valuation perspective, these companies are less demanding.

The above are some examples of what the investment team looks out for—we try to identify opportunities before peers by leveraging our extensive network of analysts. We believe our industry-leading footprint enables us to identify investment

opportunities beyond the mainstream, often before they are recognized by the broader market.

Market review: October 2025

EM equities rose in October 2025. Global equities advanced further in October, buoyed by a second US Federal Reserve (Fed) rate cut this year and easing US-China trade tensions late in the month. For the month, the MSCI EM Index returned 4.19% while the MSCI World Index delivered 2.02%.

The emerging Asia region rose, with most countries showing gains. Indian equities continued to recover as the central bank kept its key repo rate unchanged and revised its economic growth forecasts upwards on the back of falling inflation. Strong quarterly business updates from index heavyweights boosted bank stocks. Record sales during the Diwali holiday period also acted as a tailwind for the general Indian equity market. South Korea's two largest chip firms signed letters of intent to supply memory chips to an American AI organization, sending their stock prices and their affiliates' stock prices higher. Taiwan's equity index also rallied as their most valued company, a semiconductor company, posted record quarterly figures and increased its full-year guidance on strong AI-related demand.

Chinese equities pulled back during the month. A resurgence of US-China tensions featured at the start of the month but calmed down upon a meeting of both countries' leaders. This culminated in a one-year trade truce. China's Fourth Plenum, which reiterated the country's commitment for self-reliance in science and technology, lent some support to Chinese technology stocks.

Equities in the emerging Europe, Middle East and Africa region rose, taking heed from global markets. The oil upswing following US sanctions and EU measures supported regional energy-heavy indexes, but broader participation was uneven as investors weighed global trade frictions and tighter enforcement of the Russia price cap. Most central banks in the Gulf Cooperation Council reduced their key interest rates, tracking the Fed's decision. Healthy corporate earnings locally also added a boost to the advancement of the region as a whole.

Equities in the emerging Latin America (LatAm) region advanced; earnings season was broadly constructive, with financials and materials leading. Brazilian equities rallied as the US Senate passed a bill to terminate US tariffs against Brazil. In Mexico, preliminary data showed a contraction in its third-quarter economic growth from the previous quarter, marking the country's first year-on-year quarterly decline since 2021.

Endnotes

Alphabet, Meta, Amazon and Microsoft

As of October 31, 2025.

Index Definitions

Past performance is not an indicator or a guarantee of future performance. Indexes are unmanaged and one cannot invest directly in an index. Important data provider notices and terms available at www.franklintempletondatasources.com

The MSCI All Country World Index is a free float-adjusted, market capitalization-weighted index designed to measure the equity market performance of global developed and emerging markets.

The MSCI Brazil Index is designed to measure the performance of the large- and mid-cap segments of the Brazilian market.

The MSCI China Index captures large- and mid-cap representation across China A shares, H shares, B shares, Red chips, P chips and foreign listings (e.g., ADRs).

The MSCI EM Asia ex Japan Index captures large- and mid-cap representation across two of three developed markets (DM) countries (excluding Japan) and eight emerging markets (EM) countries.

The MSCI EM Latin America Index captures large- and mid-cap representation across five emerging markets (EM) countries in Latin America.

The MSCI EM EMEA Index captures large- and mid-cap representation across 11 emerging markets (EM) countries in Europe, the Middle East and Africa (EMEA).

The MSCI EM Index is a free float-adjusted, market capitalization-weighted index designed to measure the equity market performance of global emerging markets.

The MSCI India Index is designed to measure the performance of the large- and mid-cap segments of the Indian market.

The MSCI Mexico Index is designed to measure the performance of the large- and mid-cap segments of the Mexican market.

The MSCI South Korea Index is designed to measure the performance of the large- and mid-cap segments of the South Korean market.

The MSCI Turkey Index is designed to measure the performance of the large- and mid-cap segments of the Turkish market.

The MSCI World Index captures large- and mid-cap representation across 23 developed market countries.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Equity securities are subject to price fluctuation and possible loss of principal.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets. These risks are magnified in emerging markets. Investments in companies in a specific country or region may experience greater volatility than those that are more broadly diversified geographically.

The government's participation in the economy is still high and, therefore, investments in China will be subject to larger regulatory risk levels compared to many other countries.

There are special risks associated with investments in China, Hong Kong and Taiwan, including less liquidity, expropriation, confiscatory taxation, international trade tensions, nationalization, and exchange control regulations and rapid inflation, all of which can negatively impact the fund. Investments in Taiwan could be adversely affected by its political and economic relationship with China.

WF: 7393408

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